
Principle 11 — Communicate Effectively

The chief audit executive (CAE) guides the internal audit function's communications with stakeholders. Effective communication builds trust, supports a shared understanding of risks, and enables stakeholders to act on internal audit results.

Standard	Title	Main focus
11.1	Building Relationships and Communicating with Stakeholders	Establishing trust and ongoing communication
11.2	Effective Communication	Ensuring the quality of internal audit communications
11.3	Communicating Results	Reporting engagement results, themes, and broader conclusions
11.4	Errors and Omissions	Correcting significant errors in issued communications
11.5	Communicating the Acceptance of Risks	Escalating accepted risks exceeding appetite or tolerance

Standard 11.1 — Building Relationships and Communicating with Stakeholders

1. Standards & Guidance

Requirements

The CAE must develop an approach for building relationships and trust with key stakeholders, including:

- The board.
- Senior management.
- Operational management.
- Regulators.
- Internal and external assurance providers.
- Other consultants.

The CAE must promote formal and informal communication that supports a mutual understanding of:

- Organizational interests and concerns.
- Approaches to identifying and managing risks and providing assurance.
- Relevant parties' roles, responsibilities, and opportunities for collaboration.
- Relevant regulatory requirements.

- Significant organizational processes, including financial reporting.

Considerations for Implementation

- Maintain ongoing communication to understand changes in risks, business priorities, and assurance needs.
- Include the CAE in relevant organizational communication channels so internal audit receives information about significant developments and planned activities.
- Participate in relevant board, governance committee, senior management, compliance, risk management, and quality meetings.
- Discuss communication arrangements with the board and senior management, including significant-issue criteria, reporting formats, content, and frequency.
- Meet individually with senior executives and board members to understand their concerns and perspectives.
- Engage with operational managers and employees to understand how processes work in practice.
- Use interviews, surveys, and workshops to identify concerns, fraud risks, and emerging risks.
- Consider assigning internal auditors to maintain relationships with key functions such as finance, IT, compliance, and HR.
- Encourage informal interactions while safeguarding objectivity. Assignment rotation may help balance familiarity with independent judgment.

Examples of Evidence of Conformance

- A documented stakeholder relationship approach.
- Meeting agendas and minutes.
- Stakeholder surveys, interviews, and workshop records.
- Internal audit webpages, newsletters, presentations, and other stakeholder communications.

2. Audit Focus Areas

- Identification and coverage of key stakeholders.
- Clarity of stakeholder communication responsibilities.
- CAE access to relevant decision-making forums.
- Timely awareness of business and regulatory changes.
- Integration of stakeholder input into risk assessment and audit planning.
- Coordination with assurance providers.
- Protection of objectivity when developing close working relationships.

3. Risks

Risk	Potential consequence
Important stakeholders are excluded	Internal audit misses significant concerns or assurance needs
Communication occurs only during engagements	Risks and organizational changes are identified late
Stakeholder roles are unclear	Assurance work is duplicated or important areas remain uncovered
Employees distrust internal audit	Relevant information is withheld or disclosed too late
Informal relationships become overly familiar	Auditor judgment may be impaired or perceived as biased
Stakeholder feedback is collected but not considered	Audit priorities become disconnected from organizational needs

4. Controls — Suggested

Control	Type
Maintain a stakeholder map covering governance, operational, regulatory, and assurance relationships	Preventive
Assign relationship owners and define communication arrangements	Preventive
Include internal audit in relevant management and governance information channels	Preventive
Record significant concerns and assign follow-up actions	Detective / Corrective
Review stakeholder coverage and feedback periodically	Detective
Assess objectivity concerns arising from long-standing assignments or relationships	Preventive / Detective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Compare the stakeholder map with the organizational structure and assurance landscape	Stakeholder register, organization chart, assurance map
Assess whether communication arrangements address responsibilities, significant issues, and reporting expectations	Communication methodology, board discussions, reporting schedules
Sample meetings to determine whether significant concerns were recorded and followed up	Agendas, minutes, action logs
Trace selected business changes to internal audit's assessment of their implications	Change notifications, risk assessments, audit plan updates
Interview stakeholders about access to internal audit and the usefulness of communication	Interview records, survey results
Review whether stakeholder input influenced planning or engagement decisions	Planning documentation, risk assessment records
Assess safeguards where auditors have maintained prolonged relationships with an activity	Assignment records, objectivity declarations, supervisory reviews

6. Red Flags

- Internal audit learns about major changes after implementation.
- Key stakeholders cannot explain how to contact internal audit.
- The CAE is routinely excluded from relevant governance discussions.
- Stakeholder meetings repeatedly occur without recorded follow-up.
- Communication is concentrated on a few cooperative departments.
- Auditors avoid challenging a business unit because of personal relationships.

7. Common Findings — Illustrative Examples

- The stakeholder relationship approach did not cover key operational and assurance functions.
- Communication responsibilities were not assigned, resulting in inconsistent engagement.
- Significant stakeholder concerns were recorded but not evaluated for audit planning.
- Internal audit lacked access to information about major organizational changes.
- Long-standing auditor relationships were not assessed for potential objectivity concerns.

8. Professional References

- Global Internal Audit Standards, Standard 11.1.
 - Standard 9.5 — Coordination and Reliance.
 - Principle 2 — Maintain Objectivity, for related objectivity safeguards.
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Standard 11.2 — Effective Communication

1. Standards & Guidance

Requirements

The CAE must establish and implement methodologies that promote internal audit communications with seven characteristics:

Characteristic	Meaning in practice
Accurate	Faithful to the facts and free from errors or distortions
Objective	Impartial and based on a balanced assessment of relevant circumstances
Clear	Logical and understandable to the intended audience
Concise	Focused, without unnecessary detail or repetition
Constructive	Helpful and supportive of improvement
Complete	Supported by sufficient relevant and reliable information
Timely	Delivered early enough for appropriate action, considering significance

Considerations for Implementation

- Establish communication policies, templates, style guides, and review procedures.
- Consider the information needs and expectations of the board, senior management, and other recipients.
- Provide writing and presentation training where needed.
- Use supervisory review to assess factual accuracy, balance, clarity, and completeness.
- Define unfamiliar technical terms and use terminology understood by the intended audience.
- Support findings and conclusions with enough relevant detail for the reader to understand their basis.
- Remove unnecessary wording without removing material evidence, context, or limitations.
- Use a constructive tone while communicating significant weaknesses clearly.
- Adapt the level of detail to the recipient's responsibilities.
- Consider communication performance measures within the quality assurance and improvement program.

Examples of Evidence of Conformance

- Communication methodologies, style guides, and templates.
- Training records.
- Approved final communications and supporting documentation.
- Presentations and meeting minutes.
- Records showing communication timeliness.
- Workpapers and supervisory review notes.

- Stakeholder feedback.
- Quality assurance and improvement results.

2. Audit Focus Areas

- Application of all seven communication characteristics.
- Evidence supporting reported facts and conclusions.
- Consistency between workpapers and issued reports.
- Appropriate language and level of detail.
- Supervisory review before release.
- Timeliness according to issue significance.
- Monitoring and improvement of communication quality.

3. Risks

Risk	Potential consequence
Reports contain inaccurate statements	Stakeholders make decisions using incorrect information
Language is biased or accusatory	Trust declines and valid findings face unnecessary resistance
Reports are difficult to understand	Stakeholders misinterpret required action
Essential information is omitted	Conclusions appear unsupported or misleading
Reports contain excessive detail	Significant issues are overlooked
Important issues are communicated late	Exposure continues before corrective action begins

4. Controls — Suggested

Control	Type
Use a communication quality checklist covering all seven characteristics	Preventive / Detective
Link significant reported facts and conclusions to supporting workpapers	Preventive / Detective
Require documented supervisory review before release	Preventive
Apply audience-specific templates and terminology guidance	Preventive
Establish reporting and escalation targets reflecting issue significance	Preventive
Monitor communication quality through feedback and quality reviews	Detective / Corrective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Assess whether communication methodologies address all seven characteristics	Policies, templates, style guides
Trace sampled report statements and calculations to evidence	Final reports, workpapers, source records
Review whether conclusions reflect relevant supporting and contradictory evidence	Analysis records, management responses, reviewer comments
Assess clarity, conciseness, and constructive tone	Reports, presentations, stakeholder feedback
Compare communication dates with issue identification dates and applicable internal targets	Issue logs, correspondence, release records
Verify that review comments were resolved before release	Review checklists, version histories, approvals
Assess whether recurring communication weaknesses led to improvement	Quality reviews, training plans, corrective actions

6. Red Flags

- Reported figures cannot be reconciled to workpapers.
- Conclusions use stronger language than the evidence supports.
- Reports contain unexplained terminology or ambiguous recommendations.
- Important scope limitations are missing.
- Review comments remain unresolved when reports are issued.
- Urgent concerns wait for completion of the final report.
- Stakeholders repeatedly request explanations of the same report sections.

7. Common Findings — Illustrative Examples

- Communication review procedures did not address completeness or objectivity.
- Selected report statements were not supported by retained evidence.
- Significant limitations were omitted from the final communication.
- Reporting delays were not evaluated against the significance of the issues.
- Recurring stakeholder feedback about unclear reporting did not result in corrective action.

8. Professional References

- Standard 11.2 — Effective Communication.
- Standard 9.3 — Methodologies.
- Standard 11.4 — Errors and Omissions.
- Standard 15.1 — Final Engagement Communication.
- Standard 8.3 — Quality.

- Principle 12 — Enhance Quality.
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Standard 11.3 — Communicating Results

1. Standards & Guidance

Requirements

The CAE must communicate internal audit results to the board and senior management periodically and for individual engagements as appropriate. The CAE must understand their expectations regarding the nature and timing of these communications.

Results can include:

- Individual engagement conclusions.
- Themes across engagements, including effective practices and common root causes.
- Conclusions about a business unit or the organization overall.

A. Engagement conclusions

The CAE must:

- Review and approve final engagement communications, including their conclusions.
- Determine recipients and distribution methods before release.
- Retain overall responsibility when review, approval, or distribution duties are delegated.
- Seek advice from legal counsel and/or senior management, as required, before external release, subject to applicable legal or regulatory requirements and restrictions.

B. Themes across engagements

When the CAE identifies themes concerning governance, risk management, or control processes, these must be communicated to the board and senior management in a timely manner, together with relevant insights, advice, and/or conclusions.

C. Business-unit or organization-level conclusions

Where such a conclusion is required, it must be supported by relevant, reliable, and sufficient information.

Communication of the conclusion must include:

1. A summary of the request.
2. The criteria used to reach the conclusion.
3. The scope, limitations, and period covered.

4. A summary of supporting information.
5. Disclosure of reliance on other assurance providers, where applicable.

Considerations for Implementation

- Distribute results to those responsible for oversight and implementation of management actions.
- Acknowledge satisfactory performance and useful practices as well as weaknesses.
- Track findings across engagements to identify recurring causes, improving or deteriorating conditions, and transferable practices.
- Include significant control weaknesses and systemic issues in broader reporting.
- Consider relevant insights from other assurance providers.
- Ensure overall conclusions reflect the coverage, timing, and limitations of the underlying work.
- Explain how broader conclusions relate to organizational strategies, objectives, and risks.

Examples of Evidence of Conformance

- Final engagement communications.
- Board and senior management presentations, minutes, speaking notes, and reporting materials.
- Trend analyses, charts, and supporting data.
- Risk or control frameworks and other criteria supporting overall conclusions.

2. Audit Focus Areas

- Reporting expectations agreed with governance stakeholders.
- Review and approval of final communications.
- Appropriate and controlled distribution.
- Identification and reporting of cross-engagement themes.
- Evidence supporting broader conclusions.
- Disclosure of limitations and reliance.
- Balanced reporting of weaknesses and effective practices.

3. Risks

Risk	Potential consequence
Final reports are issued without appropriate approval	Unsupported or inconsistent conclusions are released
Results do not reach responsible parties	Corrective action or oversight is delayed
External distribution is not appropriately assessed	Confidential information may be disclosed improperly
Recurring findings are reported separately without analysis	Systemic weaknesses remain unrecognized

Risk	Potential consequence
Overall conclusions exceed the evidence or coverage	The board receives unjustified assurance
Reliance or scope limitations are omitted	Stakeholders misunderstand the conclusion's boundaries

4. Controls — Suggested

Control	Type
Document reporting expectations and intended recipients	Preventive
Maintain approval and delegation arrangements for final communications	Preventive
Apply controlled distribution and external-release review procedures	Preventive
Categorize findings and root causes consistently across engagements	Preventive / Detective
Prepare periodic thematic analyses	Detective
Maintain a supporting evidence and coverage matrix for broader conclusions	Preventive / Detective
Review scope, period, limitations, criteria, and reliance disclosures before release	Detective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Compare actual reporting with board and senior management expectations	Reporting schedules, minutes, issued communications
Sample final reports for documented approval before release	Approval records, delegation arrangements, distribution dates
Assess whether recipients included relevant oversight and action owners	Distribution lists, action plans
Review selected external releases for required consultation	Legal or senior management advice, release records
Analyze repeated findings to assess whether significant themes were identified	Findings register, root cause analysis, thematic reports
Trace a broader conclusion to underlying engagements and other assurance work	Coverage matrix, engagement reports, reliance assessments
Verify inclusion of the five required elements in broader conclusions	Overall conclusion report, supporting papers

6. Red Flags

- Reports are distributed before approval.
- Board reporting omits recurring significant weaknesses.
- Findings are repeatedly described as isolated despite similar causes.
- An overall conclusion covers activities that were not adequately assessed.
- Old engagement results support a current conclusion without considering changes.
- Reliance on other assurance providers is not disclosed.
- Reports are sent externally without assessing consultation requirements.

7. Common Findings — Illustrative Examples

- Final communication approval was not evidenced before distribution.
- Recurring findings across business units were not evaluated as a systemic issue.
- An overall conclusion did not clearly identify its criteria or period.
- Significant scope limitations were not disclosed.
- The supporting information was insufficient for the breadth of the conclusion.
- Distribution arrangements did not ensure that relevant action owners received results.

8. Professional References

- Standard 11.3 — Communicating Results.
- Standard 9.5 — Coordination and Reliance.
- Standard 13.1 — Engagement Communication.
- Standard 15.1 — Final Engagement Communication.
- Standard 11.4 — Errors and Omissions.
- Standard 11.5 — Communicating the Acceptance of Risks.

Standard 11.4 — Errors and Omissions

1. Standards & Guidance

Requirements

If an issued final engagement communication contains a significant error or omission, the CAE must promptly communicate corrected information to **all recipients of the original communication**.

Significance must be determined using criteria agreed with the board.

Considerations for Implementation

- Agree a correction communication protocol with the board.
- Consider whether the error or omission could have legal or regulatory consequences.

- Assess whether it could change findings, conclusions, recommendations, or management action plans.
- Select a communication method that ensures every original recipient receives the correction.
- Identify the cause of the error or omission.
- Take corrective action to prevent recurrence.

The supplied standard does not prescribe a universal numerical threshold or a fixed number of days for corrections. The process should apply the agreed significance criteria and meet the requirement for prompt communication.

Examples of Evidence of Conformance

- Methodologies for handling errors and omissions.
- Significance criteria agreed with the board.
- Records explaining the significance assessment and cause.
- Meeting minutes, correspondence, and other records discussing the issue.
- Original and corrected communications.
- Evidence that relevant recipients received the correction.

2. Audit Focus Areas

- Agreed significance criteria.
- Identification and assessment of errors after report release.
- Prompt communication of corrections.
- Completeness of the recipient population.
- Version control and traceability.
- Root cause analysis and preventive improvement.

3. Risks

Risk	Potential consequence
Significant errors are classified as minor without justification	Necessary corrections are not communicated
Corrections are delayed	Stakeholders continue relying on incorrect information
Only some original recipients receive the correction	Different stakeholders act on inconsistent information
The original report is silently replaced	Recipients remain unaware that conclusions or facts changed
Root causes are not addressed	Similar reporting errors recur
Versions are poorly controlled	Superseded communications remain in use

4. Controls — Suggested

Control	Type
Maintain board-agreed significance criteria and a correction protocol	Preventive
Record identified errors and their significance assessments	Detective
Reconcile correction recipients to the original distribution list	Detective / Corrective
Clearly identify corrected versions and superseded communications	Corrective
Retain evidence of correction delivery and investigate failed delivery	Detective / Corrective
Perform root cause analysis and track improvement actions	Corrective / Preventive

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Confirm that significance criteria were agreed with the board	Criteria, board minutes, correspondence
Review identified errors and assess consistency of significance judgments	Error register, assessments, supporting facts
Assess elapsed time between identification, assessment, and correction	Dated records, correspondence, release logs
Reconcile correction recipients with original recipients	Original distribution list, corrected distribution records
Compare original and corrected reports to determine whether the issue was fully addressed	Both versions, change records
Assess the investigation of the cause and completion of corrective actions	Root cause analysis, action tracker
Review controls over superseded versions	Document repository records, access and version history

6. Red Flags

- A report is changed after issue without a correction notice.
- Management identifies an error, but no significance assessment is documented.
- Corrections are sent only to the person who raised the issue.
- Significant changes are described as formatting updates.
- Original distribution records are unavailable.
- Similar errors recur across several reports.

7. Common Findings — Illustrative Examples

- Internal audit had no board-agreed criteria for determining significance.
- A significant correction was not communicated to every original recipient.
- The time taken to communicate corrected information was not justified.

- Superseded reports remained available without clear identification.
- The cause of a significant error was not investigated or addressed.

8. Professional References

- Standard 11.4 — Errors and Omissions.
- Standard 11.2 — Effective Communication.
- Standard 11.3 — Communicating Results.
- Standard 15.1 — Final Engagement Communication.

Standard 11.5 — Communicating the Acceptance of Risks

1. Standards & Guidance

Requirements

The CAE must communicate unacceptable levels of risk.

When the CAE concludes that management has accepted risk exceeding the organization's risk appetite or risk tolerance:

1. The matter must be discussed with senior management.
2. If the CAE determines that senior management has not resolved it, the matter must be escalated to the board.

The CAE is not responsible for resolving the risk.

Considerations for Implementation

- Understand the organization's risk appetite, risk tolerance, and risk acceptance policies.
- Use discussions with the board, management, and other stakeholders to understand what levels of risk are considered acceptable.
- Establish methodologies for documenting and communicating concerns, considering reporting hierarchy, timing, and any relevant legal or compliance consultation.
- Document the risk, reasons for concern, management's rationale, the responsible individual, discussion dates, and actions taken.
- Consider whether management's responses or insufficient progress on action plans indicate acceptance of excessive risk.
- Before escalation, discuss the concern with the management responsible for the risk area, understand its perspective, and seek agreement on an updated action plan.
- Where agreement cannot be reached, apply the escalation requirements.
- When the concern remains unresolved after senior management discussion, the board decides how to address it with management.

A delayed action plan can be an indicator of risk acceptance. It does not automatically prove that the accepted risk exceeds appetite or tolerance; the CAE must exercise professional judgment.

Potential Impacts to Consider

- Reputational harm.
- Harm to employees or other stakeholders.
- Regulatory fines or restrictions.
- Financial or contractual penalties.
- Material misstatements.
- Conflicts of interest, fraud, or other illegal acts.
- Significant barriers to achieving strategic objectives.

Examples of Evidence of Conformance

- Discussions and agreement with the board on risk communication methodologies.
- Records of discussions with operational and senior management.
- Documentation of the concern and the escalation process.
- Board meeting records, including private or closed sessions where relevant.

2. Audit Focus Areas

- Understanding and application of risk appetite and tolerance.
- Identification of explicit or implicit risk acceptance.
- Assessment of management's rationale and proposed actions.
- Documentation supporting the CAE's judgment.
- Escalation from responsible management to senior management and the board.
- Preservation of management's responsibility for risk treatment.

3. Risks

Risk	Potential consequence
Excessive risk acceptance is not identified	Significant exposure persists without appropriate oversight
Repeated delays are treated only as administrative issues	Unacceptable residual risk remains unchallenged
Escalation depends on management's willingness to report	Senior management or the board may remain uninformed
Risk concerns lack evidence and context	Escalation is ineffective or disputed
Senior management discussion does not lead to further escalation when necessary	Unresolved unacceptable risk is not brought to the board
Internal audit assumes responsibility for treatment	Objectivity and management accountability are weakened

4. Controls — Suggested

Control	Type
Maintain access to current risk appetite, tolerance, and acceptance policies	Preventive
Document an escalation methodology and reporting responsibilities	Preventive
Review overdue and rejected actions for implications for residual risk	Detective
Record management's rationale and the CAE's assessment of acceptability	Detective
Track unresolved concerns through senior management and board escalation	Detective / Corrective
Document governance decisions and management ownership of resulting actions	Preventive / Corrective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Assess whether internal audit understands applicable appetite and tolerance	Risk framework, policy documents, meeting records
Sample rejected recommendations and delayed actions for assessment of continuing exposure	Action tracker, management responses, risk assessments
Review whether the CAE's concern is supported by evidence and relevant risk criteria	Assessment papers, exposure analysis, rationale
Confirm that responsible management was engaged to understand its perspective	Correspondence, minutes, proposed revised actions
Verify senior management discussion where the CAE concluded that accepted risk exceeded appetite or tolerance	Escalation papers, senior management records
Verify board escalation where senior management did not resolve the concern	Board submissions, minutes, private-session records
Assess whether subsequent decisions preserve management's risk ownership	Decision records, assigned action owners, follow-up reports

6. Red Flags

- High-exposure actions are repeatedly postponed without reassessment.
- Recommendations are rejected without a documented rationale.
- "Risk accepted" is recorded without identifying who accepted it.
- Internal audit identifies excessive risk but does not discuss it with senior management.
- An unresolved concern is withheld from the board.
- Risk acceptance is treated as automatically sufficient to close an issue.
- Internal audit is assigned responsibility for implementing the risk treatment.

7. Common Findings — Illustrative Examples

- Overdue significant actions were not assessed for possible acceptance of excessive risk.
- Management's risk acceptance rationale and accountable individual were not documented.
- The CAE's assessment did not reference applicable appetite or tolerance.
- An unresolved unacceptable risk was discussed with senior management but not escalated to the board.
- The escalation methodology did not clearly distinguish management's responsibilities from those of internal audit.

8. Professional References

- Standard 11.5 — Communicating the Acceptance of Risks.
 - Standard 8.1 — Board Interaction.
 - Standard 9.1 — Understanding Governance, Risk Management, and Control Processes.
 - Standard 11.1 — Building Relationships and Communicating with Stakeholders.
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